

Exercise questions for Lecture 5

(Please type. Long answers with detailed explanation are expected.)

Question 1 — Three packages on the Finance Minister's desk

The Cabinet of a middle-income economy is preparing next year's budget. The economy is operating close to full employment, households have good access to bank credit, and the government has a reputation for doing exactly what it announces — so any plan it publishes is believed. The Finance Ministry places three packages before the Cabinet.

Package A — “Repair now, restrain later.” A one-year program of school repairs, flood defenses and road maintenance, of the kind undertaken after the 2011 Thai floods. Spending rises sharply this year, and the Ministry simultaneously commits to a reduction of equal present value in the following period, so that the lifetime cost of government is unchanged.

Package B — “The next-decade rail plan.” This year's budget is untouched. The government legislates a large rail-network expansion that begins construction in five years and then continues at a permanently higher level of spending, financed by a VAT increase legislated now but taking effect when construction begins.

Package C — “Universal coverage, starting now.” A permanent public health-insurance program, similar in structure to Thailand's 30-baht universal coverage scheme introduced in 2001, launched in the coming fiscal year and continuing indefinitely.

Packages B and C raise the present value of government spending by exactly the same amount. Package A does not raise it at all.

- (a) Classify each package in terms of ΔG and ΔG_p . For Package A, state precisely what must happen to future spending for the classification to hold, and explain why this is a constraint rather than a convenient assumption.
 - (b) For each package, state what happens to household consumption this year and explain why. Your explanation must run through permanent disposable income ($Y_p - T_p$); an answer that appeals only to current income earns no marks.
 - (c) For each package, state what happens this year to the interest rate, to private investment and to current output. In each case identify whether crowding out or crowding in occurs, and say through which of the two channels it operates.
 - (d) Draw the aggregate demand and supply diagram for Package A and for Package B. Label E_0 , E_1 and E_2 on each, and explain in one sentence what the horizontal distance between E_2 and E_1 represents.
 - (e) State the range of the fiscal multiplier for each package, and rank the three packages by their effect on output this year.
 - (f) The Minister argues: “Package B is clearly the best of the three. It supports the economy in the future and it costs the taxpayer nothing this year.” Evaluate this statement using the model.
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